

THE CROSS-ASSET EXPRESSION OF THE YEN CARRY TRADE THESIS

The Funding Currency Trap

On Friday the chairman of the Federal Reserve told the Jackson Hole symposium that a summer of better inflation prints had not persuaded him the underlying trend had improved. By Monday the market put the odds of an increase on 16 September somewhere between 57 and 66 per cent, depending on the hour of the quote. Two days after that decision, on 17 and 18 September, the Bank of Japan meets, priced at roughly four-in-five for a rise of its own. Both ends of the world's largest funding trade are due to be tightened inside seventy-two hours.

The question has changed because the trade's income is not what is at risk. If both central banks move a quarter point, the gap between them finishes the month exactly where it began.

A reframe worth holding onto

Stop reading the carry trade as an interest-rate position. The interest differential is the advertised return, not the exposure. Two symmetric quarter-point rises leave the differential untouched and the position's cash flow intact. What has always ended these trades is the variance of the funding currency — and it was three decades of a currency that did not move, rather than any particular level of yield, that allowed the position to grow to a size at which its unwind can move every other market.

This reframe is editorial, assembled from the external record. It is not attributable to a named research provider; see Method.

Method. Every figure in this edition is external, dated, and primary-sourced where a primary source exists; company figures come from results releases and filings. The internal research Wiki was unreachable on this run — the MCP server that exposes it was absent from the session's tool set, and two separate attempts to load it returned no matching tools — so this edition carries no Wiki page, no *last_reviewed* date and no research-provider attribution. Where the house format calls for an internal view, one prior Heyokha edition held in the archive folder is quoted directly and identified as such. Arithmetic that converts verified inputs into breakeven figures is the editor's and is labelled where it appears. See Sources and update notes.

For thirty years a mountain reservoir has released water downstream at a constant, low, guaranteed rate. Farms were built on that guarantee: orchards planted to the width of the ditches, irrigation cut to the depth of the flow, mortgages written against yields that assumed it. The water was never free — there was always a charge per thousand litres — but the charge did not move, and after a generation nobody costed the possibility that it might. Then the operators announce that releases will henceforth follow conditions rather than the schedule. The increase in the charge is trivial: a few yen, absorbed in a week. The damage is elsewhere. Every ditch, row and loan was sited on the assumption that the rate would not vary. The farms were never exposed to the price of water. They were exposed to its variance, and the first irregular release costs nobody a margin while destroying everybody's plan.

THE STORY IN 60 SECONDS

2.95%

The ten-year Japanese government bond yield, near a multi-decade high, at a moment when core inflation excluding fresh food is 1.8 per cent and has sat below the Bank of Japan's 2 per cent target for six consecutive months. Long Japanese yields are not taking their instructions from Japanese inflation. *Market quotation, 31 August 2026; Japanese CPI for July 2026.*

¥5tn

Net Japanese purchases of foreign equities and long-dated bonds across the two weeks to 15 August, against net selling of more than ¥300bn in the fortnight before. Domestic investors treated a joint central-bank intervention as an entry point, not an exit. *Ministry of Finance data as reported, 20 August 2026.*

58.4%

The Nikkei 225's gain over the trailing twelve months to late August, against 34.7 per cent for the broader TOPIX. Much of the twenty-four-point gap is the translation of foreign earnings at a weaker yen rather than a difference in domestic activity. *Index data as reported, 30 August 2026.*

WHAT ACTUALLY HAPPENED

Two central banks, one week, opposite problems

The Federal Reserve has held its target range at 3.50 to 3.75 per cent since late 2025, most recently by a nine-to-three vote on 29 July. On 28 August the chairman used the Jackson Hole platform to say that although the summer's PCE and CPI readings had come in better than expected, they did not tell him that underlying trends had meaningfully improved. Equities took the point: the Dow Jones Industrial Average fell 464 points, or 0.9 per cent, to 53,885.10, ending a five-session run. The thirty-year Treasury yield stood at 5.25 per cent on 31 August, having reached 5.33 per cent on 18 August, a nineteen-year high. Implied odds of a September increase, which had been near one in three, moved above half.

The Bank of Japan's problem is close to the inverse. Its policy rate is 1.00 per cent, held on 31 July by eight votes to one, with the dissenting board member proposing 1.25. Yet Japanese core inflation, at 1.8 per cent in July, has been below the 2 per cent target for six months, and July's acceleration owed something to the scaling back of electricity subsidies rather than to demand. On the orthodox test — inflation persistently at target — the Bank is not obliged to move. Markets price roughly an 80 per cent chance that it moves anyway, on 18 September.

What is pushing it is the currency and the fiscal calendar. On 30 July the dollar touched ¥163.73, a forty-year high. On 31 July the Ministry of Finance bought yen jointly with the United States Treasury, an unusual step for Washington to take on another country's behalf; the operation was confirmed publicly on 3 August, and the dollar fell to ¥156.34. Tokyo said it would not hesitate to act again. By 27 August the rate was back at ¥159.36. The intervention bought under four weeks.

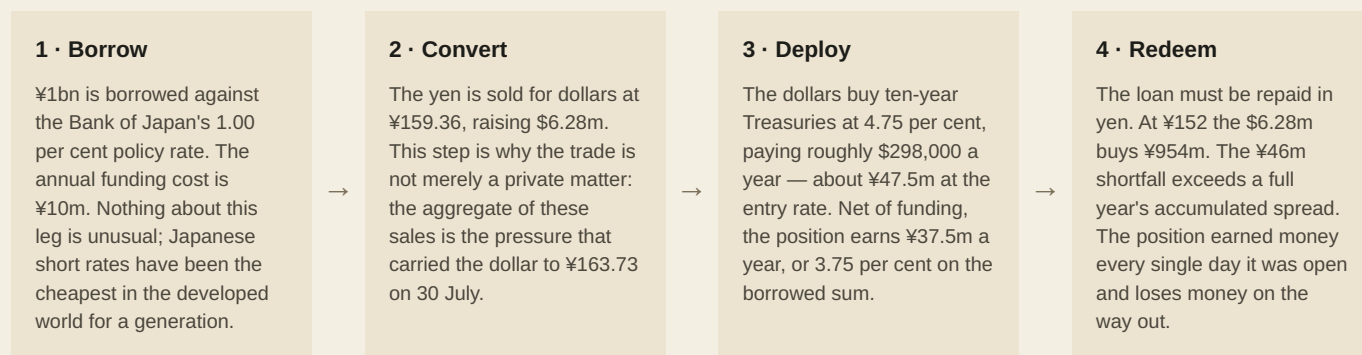
Behind the currency sits the supply of Japanese government paper. Expectations that Prime Minister Sanae Takaichi's expansionary programme will require heavy issuance drove twenty- and thirty-year yields to records earlier in the year; the thirty-year reached 3.875 per cent on 20 January, the highest since the tenor was introduced in 1999. The Ministry's answer has been to manage supply rather than demand: reported plans would cut super-long issuance for the coming fiscal year to around ¥17tn, a seventeen-year low, trimming monthly twenty-, thirty- and forty-year sales by ¥100bn each while leaving two- and five-year issuance unchanged. That is a government adjusting the shape of its borrowing to the tolerance of the buyers it has left.

THE ESSENTIAL DISTINCTION

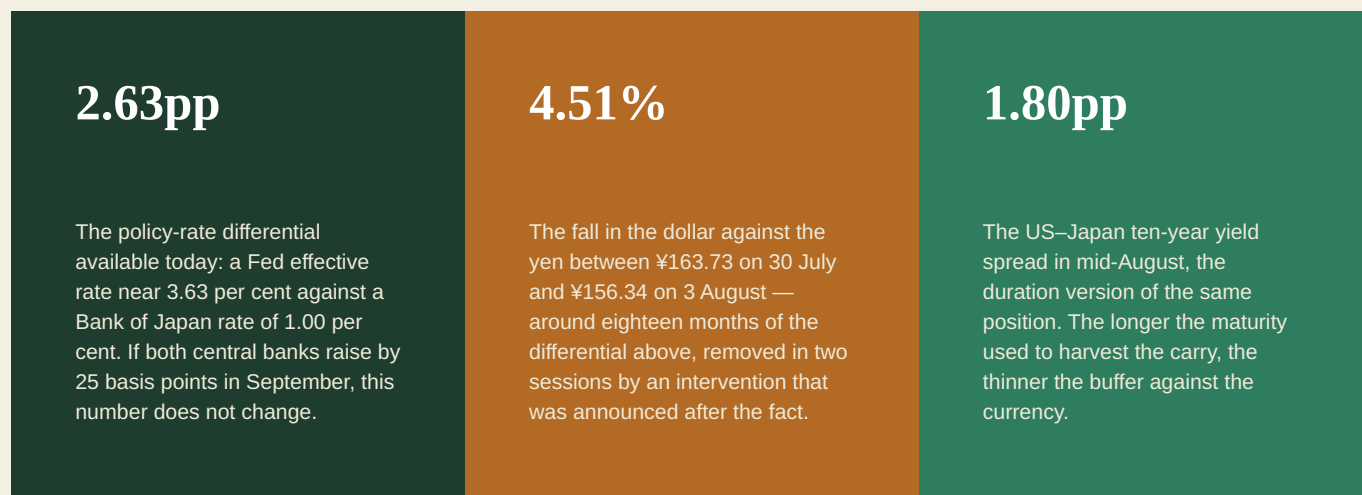
A carry trade is not a bet that an interest differential will persist. It is a bet that the funding currency will not move. Raise both policy rates by a quarter point and the differential is unchanged. Move the yen by four and a half per cent and roughly eighteen months of that differential is gone. September threatens the second thing, and only incidentally the first.

THE MECHANISM

Following one billion yen through the trade



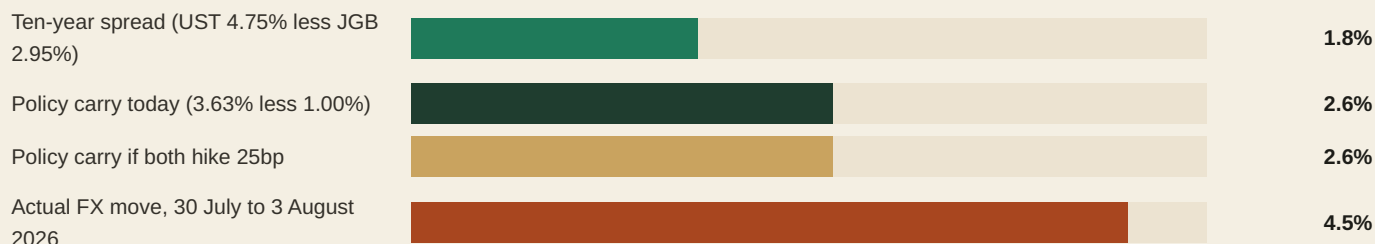
Illustrative arithmetic by the editor, using verified inputs: Bank of Japan policy rate 1.00 per cent (held 31 July 2026); ten-year US Treasury yield 4.75 per cent (31 August 2026); USD/JPY 159.36 (27 August 2026). Assumes an unhedged position and ignores transaction costs, financing rolls and any change in the Treasury's price. A hedged version of the trade earns materially less, because the cost of hedging yen exposure is itself close to the policy-rate differential.



Sources: Federal Reserve target range 3.50–3.75 per cent with an effective rate near 3.63 per cent, late August 2026; Bank of Japan policy rate 1.00 per cent, 31 July 2026; USD/JPY levels from Japanese and US reporting of the joint intervention, 30 July to 3 August 2026; ten-year spread as reported, mid-August 2026. The "eighteen months" conversion is the editor's arithmetic.

THE CENTRAL COMPARISON

How much yen strength erases a year of carry



Bars are illustrative and drawn to a common scale of yen appreciation in per cent; the first three are breakeven thresholds calculated by the editor from the verified rates cited above, the fourth is a realised move. The comparison holds only for unhedged positions and ignores the capital gain a Japanese holder of Treasuries would make if US yields fell at the same time — a partial offset that has historically been unreliable precisely when the currency moves fastest.

A USEFUL MENTAL MODEL

The differential is the coupon. The exchange rate is the collateral. For thirty years the collateral was marked at a price that barely moved, so a generation of balance sheets stopped counting it as collateral at all. *Nothing about the coupon tells anyone how much collateral has quietly been posted.*

THE SHIFT

What has actually changed

WHAT HAS CHANGED	WHAT IT LOOKS LIKE IN THE DATA	WHY IT CUTS BOTH WAYS
Japanese long yields have detached from Japanese inflation	Ten-year JGB at 2.95 per cent on 31 August, near a multi-decade high, with core CPI at 1.8 per cent and below target for six months. The thirty-year set a record 3.875 per cent on 20 January.	A rising long yield with soft inflation is consistent with a market pricing issuance and sponsorship rather than the policy path — but it is equally consistent with a market that simply expects the Bank of Japan to be late, which would make the yields a forecast after all.
Intervention now has an American co-signatory	Joint yen-buying by the Ministry of Finance and the US Treasury on 31 July, confirmed 3 August; the dollar fell from ¥163.73 to ¥156.34, and was back at ¥159.36 by 27 August.	Washington's participation raises the ceiling on how far Tokyo can push, which shortens the tail risk for anyone short yen. It also proves how little a coordinated operation buys: under four weeks, on this occasion.
Positions were rebuilt, not retired	More than ¥5tn of net Japanese buying of foreign equities and long bonds in the two weeks to 15 August, against ¥300bn of net selling in the prior fortnight.	Domestic investors buying overseas assets at a better rate is rational and profitable. It also means the crowding that made August 2024 violent has been restored rather than worked off.
The government is managing bond supply, not demand	Reported plans to cut super-long issuance to roughly ¥17tn next fiscal year, a seventeen-year low, with monthly twenty-, thirty- and forty-year sales each trimmed by ¥100bn.	Less super-long paper should support the long end and calm the yield signal. It also shifts the same borrowing into shorter maturities, raising rollover frequency at exactly the point in the curve the Bank of Japan is about to make more expensive.
Domestic institutions have started shortening duration	Net ¥201.2bn of Japanese sovereign debt over ten years sold by local insurers in May 2026, with midsize life companies now following larger ones in cutting twenty-, thirty- and forty-year exposure.	Shortening duration reduces mark-to-market pain and frees capital for higher-yielding domestic paper. It also removes the buyer of last resort from the maturities the state most needs absorbed.
Japanese equity leadership is currency-geared	Nikkei 225 at 66,311.93 on 31 August, up 58.4 per cent over twelve months, against TOPIX at 4,156.29 and up 34.7 per cent. Toyota's quarter assumed ¥160 to the dollar against ¥145 a year earlier.	Weak-yen translation has been a genuine earnings tailwind, funding real buybacks. The same mechanism reverses without any change in units sold if the currency turns, and the reversal lands in reported profit rather than in volumes.

Bull and bear, stated fairly

The case that this normalises

- **The differential survives the week.** Two symmetric quarter-point rises leave the Fed–BOJ gap at roughly 2.6 percentage points. On the arithmetic above, nothing about the trade's income statement changes on 18 September.
- **Japanese inflation is not forcing the pace.** Core CPI at 1.8 per cent has been below target for six months, and July's pickup owed something to the withdrawal of electricity subsidies. A Bank moving for currency reasons can move slowly and stop.
- **The domestic financial system is being paid to normalise.** MUFG's net interest income rose 28 per cent year on year in the June quarter, with net profit of ¥809.4bn against a ¥633.4bn consensus; SMFG's attributable profit rose 33 per cent to ¥501.4bn with its non-performing loan ratio improving to 0.81 per cent from 0.97.
- **The state is actively defusing the yield signal.** Cutting super-long issuance to a seventeen-year low addresses the specific maturities where the record yields were set, rather than arguing with the market about the policy rate.
- **Intervention capacity is larger than it was.** The 31 July operation had the US Treasury on the other side of the telephone. Whatever it says about the yen, it materially raises the cost of a one-way speculative attack.
- **Corporate Japan has been converting the windfall into permanent capital returns.** Toyota raised full-year operating profit guidance by ¥400bn to ¥3.4tn and announced a ¥1tn buyback. Shares retired at ¥160 to the dollar do not come back at ¥140.

The case that this breaks something

- **The precedent is recent and extreme.** The Bank of Japan raised to around 0.25 per cent on 31 July 2024. Five days later the Nikkei fell 12.4 per cent, its largest one-day decline on record, the S&P 500 fell 3 per cent and the VIX reached 65. The hike was a quarter point.
- **The buffer is thinner than the observed volatility.** A 1.8-point ten-year spread is erased by 1.8 per cent of yen appreciation. The currency moved 4.5 per cent in two sessions a month ago, without a policy decision attached.
- **Nobody knows the size of the position.** Published estimates run from \$261bn to more than \$1.7tn; the BIS put bank yen claims on non-bank borrowers outside Japan at \$880bn in early 2024 and conceded large data gaps. A trade whose size cannot be measured cannot be sized against a shock.
- **The Nikkei's gain is the collateral.** A 58 per cent twelve-month rise against 34.7 per cent for TOPIX identifies where the currency has been capitalised. Toyota's own quarter shows operating income falling ¥102.6bn year on year *despite* a ¥15 weaker translation rate, which is what earnings quality looks like when the tailwind is doing the work.
- **Domestic institutions are structurally on the wrong side of higher long yields.** Sector reporting suggests a thirty-year yield above 4.5 per cent, from around 3.9, would put life insurers at material risk of impairment losses and make further bond selling highly likely — selling into the maturities the state needs financed.
- **Repatriation has already been visible once.** Japanese investors sold \$29.6bn of US debt in the first quarter of 2026, and March brought the largest monthly inflow on record into Japanese sovereign bond funds. The ¥5tn of August buying shows the flow can reverse in a fortnight, in either direction.

THE UNRESOLVED POINT

Where internal and external readings diverge

The Heyokha edition of 20 August, on fiscal dominance, argued a specific and useful thing: that the long end of a government bond market should be read not as a forecast of the policy rate but as a price quoted by the institutions obliged to absorb the state's issuance — a price that rises with the quantity on offer and with doubt about who will be buying in a decade. On that reading, it wrote, a hawkish central bank and a rising long bond "are not a contradiction. They are the same fact seen from two ends of a maturity ladder." Applied to Japan, the reading fits almost too well: a record thirty-year yield set in January, core inflation below target all year, and a finance ministry responding by cutting super-long supply rather than by disputing the policy outlook.

The external tape of the past four days contradicts it. The thirty-year Treasury moved to 5.25 per cent, and the two-day repricing of September odds from roughly one in three to above one in two, followed the Jackson Hole speech — a pure policy-path event with no supply content whatsoever. If the long end were being set by issuance and sponsorship alone, a speech about the inflation trend should barely have registered. The same edition left a dated test on the table: the first \$4bn US long-end buyback runs on 9 September, and if the thirty-year were back above 5.30 per cent before then, "the announcement bought a week and nothing more." Eight days out, the thirty-year is at 5.25 per cent — below the

threshold, and not by much. This edition does not resolve the disagreement. It records that the internal reading and the past week's price action point in different directions, and that the resolution arrives on a known date.

THE DASHBOARD

What to watch from here

SIGNAL	PLAIN-ENGLISH READING	WHY IT MATTERS
USD/JPY through ¥163.73	The dollar back above its 30 July forty-year high, meaning the joint intervention has been fully reversed.	It would make a Bank of Japan move on 18 September close to obligatory regardless of the inflation data, and remove the option of a slow path.
Thirty-year JGB toward 4.5 per cent	The level sector reporting identifies as the point at which life insurers face material impairment risk.	Forced selling by the domestic institutions that traditionally absorb super-long paper would turn a yield problem into a funding problem.
Ministry of Finance weekly portfolio flows	Whether the ¥5tn of August buying continues, stalls, or reverses into net repatriation.	It is the only high-frequency read on whether Japanese capital is leaving foreign markets, and it is published with a short lag.
Fed and BOJ decisions, 16 and 18 September	Whether both hike, one hikes, or the differential actually changes.	A Fed rise with a Bank of Japan hold widens the differential and weakens the yen further, which is the outcome that most raises the eventual unwind risk.
US long-end buyback, 9 September	The first \$4bn operation, and where the thirty-year Treasury trades into it.	It is the dated test of whether the long end is priced by supply management or by the policy outlook — the disagreement named above.
Nikkei–TOPIX divergence	Whether the twenty-four-point twelve-month performance gap between the two indices narrows.	The gap is the market's implicit valuation of the weak yen. It closing without the currency moving would mean something other than translation was driving it.

EXPRESSION

Three postures, not one answer

Own the domestic normalisation Japanese banks are the direct beneficiaries of a policy rate leaving the floor, and the June quarter showed it in net interest income rather than in guidance. The explicit cost: the same institutions are the most geared to a Japanese slowdown if the tightening bites, part of the reported strength is affiliate and trading income rather than lending, and both large banks left full-year guidance unchanged despite large beats — which is management declining to extrapolate.	Own the translation and accept the currency Exporters have converted a weak yen into raised guidance and retired share capital. The explicit cost: the mechanism is symmetrical and immediate. Toyota's full-year assumption is ¥151 to the dollar against a ¥160 quarter; a currency that strengthens past the assumption removes profit without a single lost sale, and it arrives in a quarter where operating income was already ¥102.6bn lower year on year.	Own the funding side The coherent hedge against an unwind is to be long yen and short duration in both markets — the mirror image of the crowd. The explicit cost is the most concrete of the three: it pays negative carry of roughly 2.6 percentage points a year to wait, the wait has been measured in years rather than quarters, and the position was profitable for about four sessions in August 2024 and August 2026 respectively.
The companies named below are illustrative of the mechanisms discussed in this edition. They are NOT recommendations, and nothing here is a view on their shares.		

8306 JP

Mitsubishi UFJ Financial Group

¥809.4bn Q1 net
3 months to 30 Jun 2026

The purest listed expression of Japanese rate normalisation, and the clearest evidence that it is already being paid. June-quarter net profit of ¥809.4bn came in 48 per cent higher year on year against a Bloomberg consensus of ¥633.4bn, with net interest income up 28 per cent on loan growth and margin expansion. Ordinary income was ¥3.91tn, ordinary profit ¥1.12tn, total assets ¥433.9tn. Management left the full-year target at ¥2.7tn, unchanged.

WATCH NEXT

Whether the full-year target is raised at the half year, and how much of the beat survives once the Morgan Stanley equity contribution is stripped out.

8316 JP

Sumitomo Mitsui Financial Group

¥501.4bn Q1 net, +33%
3 months to 30 Jun 2026

The same trade, with cleaner credit disclosure. Ordinary income rose 16.6 per cent to ¥2.85tn and ordinary profit to ¥693.1bn from ¥483.3bn, with attributable profit up 33 per cent to ¥501.4bn. Non-performing loans fell to ¥1,148.9bn and the NPL ratio improved to 0.81 per cent from 0.97 — the detail that matters, since the bear case for Japanese banks in a tightening cycle runs through domestic credit rather than through margins. Full-year guidance of ¥1.7tn was confirmed.

WATCH NEXT

The NPL ratio at the half year. A tightening cycle that is genuinely benign should not show up in credit costs for several quarters.

8750 JP

Dai-ichi Life Holdings

¥158.1bn Q1 adj. profit
3 months to 30 Jun 2026

A life insurer is a levered bet on the long end of its own government's curve, which makes this the sharpest test of whether higher JGB yields help or hurt. Group adjusted profit of ¥158.1bn was roughly ¥84bn above the prior year, a 113 per cent increase, though the comparison flatters: the year-earlier quarter was depressed by bond rebalancing. The drivers named were a higher positive spread in the yen portfolio and gains on sales of domestic equities.

WATCH NEXT

Disclosure of unrealised losses on domestic bonds, and whether super-long selling continues. Sector reporting puts the impairment-risk threshold near a 4.5 per cent thirty-year yield.

7181 JP

Japan Post Insurance

¥34.1bn Q1 net
3 months to 30 Jun 2026

The counterweight to the previous card, and a useful reminder that the sector is not homogeneous. First-quarter net income of ¥34,126m was slightly below the prior year even as earnings per share rose to ¥31.72 from ¥31.06, and adjusted profit of ¥36.6bn relied on higher-than-planned dividends from alternative assets rather than on the core spread. Full-year guidance was reaffirmed at ¥141,000m and roughly ¥130 of EPS.

WATCH NEXT

Whether the alternative-asset dividend contribution repeats. If it does not, the underlying spread earnings become visible in a quarter when long yields are still rising.

7203 JP

Toyota Motor

¥1.0634tn Q1 op. income
reported 4 Aug 2026

The mechanism by which a currency becomes an earnings number. The June quarter assumed ¥160 to the dollar against ¥145 a year earlier, and ¥185 to the euro against ¥164 — and operating income still fell ¥102.6bn year on year, to ¥1.0634tn. Full-year operating profit guidance was nonetheless raised ¥400bn to ¥3.4tn on revised assumptions of ¥151 and ¥181, alongside a ¥1tn buyback. Tariffs cost ¥1.38tn in the prior fiscal year.

WATCH NEXT

The ¥151 dollar assumption against the spot rate. Every yen of strength beyond it removes guidance that was granted on a currency forecast, not on units.

9984 JP

SoftBank Group

¥72.3tn NAV
as at 30 Jun 2026

The carry trade in corporate form: yen-denominated liabilities against dollar-denominated growth assets, marked continuously. Net asset value reached a record ¥72.3tn, about \$445.2bn, at the end of June, with Arm alone at ¥43.4tn and the Vision Funds at ¥20.8tn. Quarterly investment gains included ¥1,332.9bn from Intel and ¥358.4bn from ByteDance. The asset side is dollar technology risk; the funding side is Japanese.

WATCH NEXT

The behaviour of the shares on any day the yen rises sharply. The vehicle's sensitivity to a carry unwind is structural rather than discretionary.

The bottom line

What was repriced in the last four days was not the yen carry trade's income. It was the probability that two central banks tighten in the same week for opposite reasons — one because its inflation will not fall convincingly, the other because its currency will not stop falling. Those two motives can produce identical quarter-point moves and leave the differential at 2.6 percentage points, exactly where it started. The exposure that matters is elsewhere. A ten-year spread of 1.8 points is erased by 1.8 per cent of yen appreciation; the currency moved 4.5 per cent in two sessions on 31 July with no policy decision attached, and Japanese investors responded by buying ¥5tn of foreign assets into the move rather than selling.

The evidence is genuinely mixed. Japanese inflation is below target and easing pressure, not building it; the finance ministry is defusing the long end by cutting super-long supply to a seventeen-year low; the joint intervention gives Tokyo a larger stick than it had; and the domestic banks are reporting the normalisation as profit rather than as stress. Against that, nobody can size the position — published estimates span \$261bn to \$1.7tn — and the only recent controlled experiment, a quarter-point rise on 31 July 2024, produced the largest one-day fall in the Nikkei's history five days later. The reasonable inference is narrower than either camp: the September decisions are unlikely to damage the trade's economics and quite likely to raise its volatility, and it is volatility that has always ended it. The next test is dated. The Federal Reserve reports on 16 September and the Bank of Japan on 18 September; the more informative of the two outcomes is a Fed rise paired with a Japanese hold, because that widens the differential, weakens the yen further, and makes the eventual adjustment larger rather than smaller.

Editorial note. This is educational commentary prepared for internal use. It is not investment advice, not a recommendation, and not a solicitation to buy or sell any security. Companies are named to illustrate mechanisms, not as suggestions to own or avoid them; no position is expressed or implied. All external figures carry an as-of date and are sourced below, and figures that could not be verified have been dropped rather than estimated. Internal Wiki views, where the house format calls for them, are the opinions of named research providers and are labelled as views rather than forecasts — on this run no such material was available, and the reframe and the analogy are therefore editorial and are marked as such. Where internal and external readings conflict, the conflict is stated and left unresolved. Arithmetic that converts verified inputs into breakeven or illustrative figures is the editor's and is identified at each point of use.

Sources and update notes

(a) Internal sources. None from the research Wiki. The Heyokha Wiki MCP server was absent from this session's tool set: no *list_sources*, *list_pages*, *get_page*, *get_relations* or *search_wiki* tool could be loaded across two separate attempts, and a search of the connected Notion workspace returned no theme, source-summary or company pages of the relevant kind. There is therefore no Wiki slug, no created or *last_reviewed* date, and no research-provider issue — 13D Research, White Box, Greed & Fear, Solid Ground, Marc Faber, HS Dent, Gary Shilling or any other — behind any statement in this edition. One internal document was available and is used: the Heyokha *Market Field Guide* of Thursday 20 August 2026, "Two Hands on the Curve", held in the archive folder, from which the fiscal-dominance reframe, the direct quotation on the maturity ladder, the 5.337 and 5.187 per cent thirty-year Treasury prints of 18 and 19 August, and the 9 September buyback test are taken. That edition itself records that it contained no Wiki material, so it is a prior house write-up rather than a provider view, and it is cited as such.

(b) Limitation on the internal view. This paragraph normally names the provider concentration on the relevant Wiki page and discounts the internal argument accordingly. Today the limitation is close to total. The single internal document used is one of this publication's own prior editions, which is a weaker authority than a provider issue in two specific ways: it was itself written without Wiki access, and using it risks compounding an editorial error rather than testing one — if the 20 August reading of the long end was wrong, quoting it here reproduces the mistake with an extra week's apparent corroboration. The customary counterweight, in which a provider's thesis is set against the external record, is absent. Everything else here is external reporting and company disclosure, which carries its own bias: results describe the past, and news reporting over-weights the datable and the dramatic. The argument should be read as built from the outside in.

(c) External sources. (1) Federal Reserve: target range 3.50–3.75 per cent, held 9–3 at the 28–29 July 2026 meeting; effective rate near 3.63 per cent in late August; next decision 16 September 2026, 2.00pm ET — FOMC minutes and Federal Reserve calendar. (2) Jackson Hole, 28 August 2026: the chairman's remark that "while this summer's PCE and CPI readings were better than expected, they do not tell me that underlying trends have meaningfully improved" — CNBC and Schwab reporting, 28–31 August 2026. (3) September hike odds: reported as rising from roughly 35 to 60 per cent post-speech; CME FedWatch quoted at 57.5 per cent in 31 August reporting and at 66 per cent at approximately 11.40am ET on 31 August by Forbes. The dispersion is reproduced rather

than reconciled; the text uses the 57–66 per cent range. (4) US equities and Treasuries: Dow Jones Industrial Average –464 points, –0.9 per cent, to 53,885.10 on 28 August, ending a five-session run; S&P 500 –0.3 per cent on 28 August; ten-year Treasury 4.75 per cent and thirty-year 5.25 per cent on 31 August; thirty-year 5.33 per cent on 18 August, a nineteen-year high, with the ten-year at 4.706 per cent that day — CNBC, Yahoo Finance and Zacks reporting, 18–31 August 2026. (5) Bank of Japan: policy rate 1.00 per cent, held 8–1 on 31 July 2026 with board member Hajime Takata proposing 1.25 per cent; next meeting 17–18 September 2026; markets pricing roughly 80 per cent for a 25 basis point rise to 1.25 per cent — CNBC, Reuters via FXStreet and Trading Economics, 31 July to 31 August 2026. (6) Ten-year JGB yield 2.95 per cent on 31 August 2026, up 0.02 percentage points on the session, having traded near 2.88 per cent, close to multi-decade highs — Trading Economics. (7) Thirty-year JGB: record 3.875 per cent on 20 January 2026, the highest since the tenor was introduced in 1999; sector reporting places the life-insurer impairment-risk threshold above 4.5 per cent against a level described as around 3.9 per cent; twenty- and thirty-year yields fell in late August, the thirty-year by at least eight basis points, as the US Treasury announced larger long-end buybacks. No dated late-August quotation for the thirty-year JGB could be obtained, so no current level is stated. (8) Japanese inflation: core CPI excluding fresh food 1.8 per cent in July 2026 from 1.6 per cent in June, highest since March, below the 2 per cent target for a sixth consecutive month; headline 1.9 per cent from a revised 1.6 per cent, partly on a slower decline in electricity prices as subsidies were scaled back. Nominal wages +3.0 per cent year on year in January 2026. (9) FX and intervention: dollar at ¥163.73 on Thursday 30 July 2026, a forty-year high; ¥157.57 on Friday 31 July; coordinated yen-buying by the Ministry of Finance and the US Treasury on 31 July, publicly confirmed early on Monday 3 August, after which the dollar fell about 1 per cent to ¥156.34; Finance Minister Satsuki Katayama communicated the action and Tokyo stated it "will not hesitate to conduct further coordinated interventions in the future"; USD/JPY 159.356 on 27 August 2026 — NPR, The Japan Times, Al Jazeera, CNBC and OMFIF, 3 August 2026, and Japanese market reporting, 27 August 2026. (10) Flows: Japanese investors net bought more than ¥5tn of foreign equities and long-term bonds over the two weeks to 15 August 2026 against net selling of over ¥300bn in the prior fortnight; the US–Japan ten-year spread was roughly 1.8 percentage points in mid-August — Ministry of Finance data via CNBC, 20 August 2026. Japanese investors sold \$29.6bn of US debt in the first quarter of 2026; March 2026 brought the largest monthly inflow on record into Japanese sovereign bond funds; trailing-twelve-month net purchases of foreign bonds were approximately \$50bn — Fortune, May 2026. Local insurers sold a net ¥201.2bn of Japanese sovereign debt due beyond ten years in May 2026, and midsize life companies have followed larger carriers in cutting twenty-, thirty- and forty-year exposure — The Japan Times, 22 June 2026. (11) Position size: published estimates range from \$261bn to more than \$1.7tn; the BIS put banks' yen-denominated claims on non-banks outside Japan at \$880bn in the first quarter of 2024 and yen loans to those borrowers at \$271bn, up from \$228bn in mid-2021, while noting large data gaps, and estimated the trade at roughly \$764bn before the 2024 episode with the same caveat — BIS Quarterly Review, September 2024, and secondary estimates. (12) Japanese government bond supply: reported plans to cut super-long issuance next fiscal year to around ¥17tn, a seventeen-year low, reducing monthly twenty-, thirty- and forty-year issuance by ¥100bn each, holding ten-year issuance flat and leaving two-year (¥2.8tn) and five-year (¥2.5tn) unchanged, in response to yield pressure attributed to Prime Minister Sanae Takaichi's expansionary fiscal plans — Reuters and Nikkei Asia. (13) Japanese equities: Nikkei 225 66,131.98 on 27 August (–0.20 per cent), 66,323 on 28 August (+0.29 per cent) and 66,311.93 on 31 August (–0.14 per cent); TOPIX 4,156.29 on 31 August (+0.23 per cent); Nikkei +58.41 per cent and TOPIX +34.67 per cent over the trailing twelve months — Japanese market reporting, CNBC and Trading Economics, 27–31 August 2026. (14) August 2024 precedent: the Bank of Japan raised the overnight call rate from "around 0 to 0.1 per cent" to "around 0.25 per cent" on 31 July 2024; the Nikkei fell 12.4 per cent on 5 August 2024, its largest one-day decline on record; the S&P 500 fell 3 per cent and the VIX reached 65 — CNBC, 5 August 2024. (15) MUFG, first quarter of fiscal 2026, three months to 30 June 2026: profit attributable to owners of parent ¥809.4bn, reported as +48 per cent year on year against a Bloomberg consensus of ¥633.4bn, with a second source giving +51 per cent; net interest income +28 per cent; ordinary income ¥3.91tn; ordinary profit ¥1.12tn; total assets ¥433.9tn; full-year target ¥2.7tn unchanged — Form 6-K and company announcement, August 2026. (16) SMFG, same quarter: ordinary income ¥2.85tn, +16.6 per cent; ordinary profit ¥693,136m from ¥483,337m; attributable profit ¥501,372m, +33.0 per cent; non-performing loans ¥1,148.9bn and NPL ratio 0.81 per cent from 0.97; total assets ¥327.5tn; ¥1.7tn forecast for the year to 31 March 2027 unchanged — Form 6-K. (17) Dai-ichi Life Holdings, same quarter: group adjusted profit ¥158.1bn, approximately ¥84bn higher year on year and +113 per cent, against a prior-year quarter depressed by bond rebalancing; drivers a higher positive spread and gains on sales of domestic equities — results and earnings call, August 2026. (18) Japan Post Insurance, same quarter: net income ¥34,126m, slightly below the prior year; EPS ¥31.72 from ¥31.06; adjusted profit ¥36.6bn supported by higher-than-planned dividends from alternative assets; full-year guidance reaffirmed at ¥141,000m net income and about ¥130 EPS — company disclosure and market reporting. (19) Toyota Motor, first quarter of fiscal 2027, reported 4 August 2026: operating income ¥1.0634tn, ¥102.6bn lower year on year; quarterly foreign-exchange assumptions ¥160 to the dollar against ¥145 and ¥185 to the euro against ¥164; full-year operating income forecast raised ¥400bn to ¥3.4tn on revised assumptions of ¥151 to the dollar and ¥181 to the euro; ¥1tn buyback; tariffs cost ¥1.38tn in fiscal 2026 — company presentation of 4 August 2026 and Toyota Times. (20) SoftBank Group, reported 6 August 2026: net asset value a record ¥72.3tn, about ¥445.2bn, as at 30 June 2026, with Arm Holdings ¥43.4tn and the Vision Funds ¥20.8tn; investment gains including ¥1,332.9bn from Intel and ¥358.4bn from ByteDance — company presentation.

(d) Editorial choices in this automated run. *Topic selection.* The Wiki entity-scoring procedure could not run, so the topic was chosen from the hot external signal. Two central-bank decisions priced for tightening inside seventy-two hours, at opposite ends of the world's largest funding trade, was the clearest datable event of the week, and the yen and Japanese rates are entirely absent from the archive at any date. *Cooldown.* This ran in full. The archive folder was read directly and every filename parsed, so no inference was required. The thirty-day set comprises Copper, AI Capex, Gold Miners, Grid Equipment, Oil & Gas, Software Unit Economics, Healthcare Rotation, Tanker Shipping, Uranium, Oil Chokepoint Risk, Seat-Based Software, Energy Chokepoints, Copper Smelting Bottleneck, Fiscal Dominance, China Equities, Memory Supercycle, Rare Earth Magnets, Gold, Humanoid Robots, Iran War, Coal and Grain Supply Shock. Yen Carry Trade appears nowhere in the archive. Fiscal Dominance, on cooldown as a topic since 20 August, is quoted here as an internal source rather than revisited as a subject. The renewed Hormuz escalation of 30–31 August was excluded on the same cooldown grounds as on 31 August. *Tool failures.* The Heyokha Wiki MCP server and the remote-devices bridge were both absent. The archive folder was nonetheless directly accessible as a mounted directory, which is why the cooldown check succeeded where the internal leg did not. Direct HTTP fetching and yfinance are blocked here and were not worked around. *Figures dropped or caveated.* One source described the Nikkei's all-time high as 62,833.84 on 7 May 2026, which cannot be current given closes above 66,000 in late August; the May record is therefore not used. A report of Toyota posting a "¥1.48tn Q1 profit" was set aside in favour of the ¥1.0634tn operating income figure from the company's own presentation, since the two are not the same measure. A reported thirty-year Treasury change of "5 per cent" on 31 August was ambiguous between a percentage and a basis-point move, so only the level is stated. MUFG's growth is given as +48 per cent, the figure attached to the consensus comparison, with the competing +51 per cent noted rather than averaged. *Structure.* With no internal bear case available, both columns were built from external reporting and from tensions inside the companies' own disclosures — most directly Toyota's.

